

GNIOT Institute of Management Studies – PGDM (Batch 2021-23)**(TRIMESTER – I) END TERM EXAMINATION, NOVEMBER - 2021****ECONOMICS FOR MANAGERS****[Time: 2 Hours 30 Minutes]****[Maximum Marks: 100]****INSTRUCTIONS:**

- (i) **There are THREE sections in this question paper.**
- (ii) **Attempt questions from each section as per the directions.**
- (iii) **Make suitable assumptions wherever necessary.**

SECTION-A**(Short Answer Type Questions, do not exceed 100 words)****Q.1. Attempt all parts of the following:****(10×3=30)**

- (a) Clarify business economics.
- (b) Define macroeconomics.
- (c) Discuss any four characteristics of monopolistic competition.
- (d) Define cross elasticity of demand.
- (e) What do you mean by company demand and industry demand?
- (f) What is long-run in economics?
- (g) Define imputed cost.
- (h) Explain variable cost.
- (i) Discuss Net National Product.
- (j) What do you mean by Boom in business cycle?

SECTION-B**(Long Answer Type Questions)****Attempt all questions of the following:****(4×10=40)****Q.2. (a)** Justify that managerial economics is economics applied in decision making.**OR****(b)** “Basic principles of economics are frequently used in managerial decision making.” Explain basic principles of economics with suitable examples.**Q.3. (a)** What do you mean by demand? Explain law of demand with the help of demand schedule and demand curve.**OR****(b)** Explain each of the following terms and describe briefly the factors that determine each of them.

- (i) price elasticity of demand
- (ii) income elasticity of demand

Q.4. (a) Distinguish between average and marginal costs. Show by examples and diagrams.**OR****(b)** Examine the difference between short-run production function (SRPF) and long-run production function. Why is the difference important for managerial decision making?**Q.5. (a)** Why is the firm under perfect competition described as a price-maker? Deduct its equilibrium conditions in the short run.**OR****(b)** What do you mean by National Income? Explain various methods of measurement.

SECTION-C

Q. 6 Below is the demand schedule for a product.

Price (Rs/Unit)	Demand (Unit/Week)
200	800
180	1000
160	1200
140	1400
120	1600
100	1800
80	2000
60	2200

Attempt all parts of the following:

(2×15=30)

Calculate the price elasticity of demand and comment on your result when

6(a) the price is reduced from Rs. 180 to Rs. 160 per unit.

6(b) the price is reduced Rs. 100 to 80 per unit.